

Fixed Assets

Fixed Assets are items purchased to run the business, rather than those planned on being converted to cash. This category includes items such as office furniture, computers, cars, trucks, and machinery. Generally, the items have a large up-front cost but the expectation is that you will get several years of life out of the asset. Selling a Fixed Asset to pay current bills is generally an indication that a company is in financial trouble.

Fixed Assets are expensed differently, through a process known as depreciation. We will cover Fixed Assets and depreciation in a later chapter.

Long-term Assets

Long-term Assets are assets such as investments, treasury bonds, and receivables due in future years. These accounts are different from Fixed Assets because they don't lose value (i.e., depreciate) over time. Long-term investments are expected to rise in value, or at least stay the same. If a business is planning a large purchase such as a building or plot of land, they could create a special fund which would be classified as a Long-term Asset.

Liabilities

Liabilities generally consist of three categories. Trade liabilities are debts we incur as part of running the business such as purchasing shipping supplies on credit. Tax liabilities are monies we owe to a government taxing agency such as payroll taxes, and sales taxes, etc. And notes are legally binding, generally long-term liabilities for purchases such as Fixed Assets and other items needed to support the business.

Current Liabilities

Most trade liabilities and tax liabilities are current (i.e., they will need to be paid within the current period—most often within a year). Current assets generally need to be sufficient to pay off the current liabilities, otherwise potential cash flow issues can arise. The taxing agencies generally fine companies heavily if they are late with their tax payments. Vendors will sometimes accept late payments but doing so runs the risk of that vendor (who supplies the business with what it needs) no longer extending credit to the business.

Long-term Liabilities

Long-term debts are liabilities that need to be paid but not fully so within the current period. For example, if you buy a fixed asset via a loan, typically the loan repayment term is over multiple years. So the loan itself will be classified as a long-term liability.